



20 largest borrowers as a percentage of total exposure.

For rankings based on divergence in gross NPAs and provisioning for NPAs, banks that have less than 15% and 10% divergence, respectively, and banks that have no divergence were assigned the highest rank. To determine rankings based on the provision coverage ratio (PCR), banks that had no NPAs and those that had a PCR of 100% were assigned the highest rank.

Productivity and efficiency:

Cost to income ratio: Operating expenditure as percentage of

operating income; cost to average asset ratio: operating expenditure as a percentage of average total assets (i.e. average of closing balance of FY22 and FY23); absolute increase in return on assets: basis points increase in return on assets (net profit over total assets) from FY22 to FY23; percentage increase YoY in ratio of operating profit to total income; profit per employee.

Quality of earnings: Return on assets: ratio of net profit to average total assets; fee income as a percentage of total income; return on capital employed: reported net profit divided by average net worth (i.e. average of closing balance of FY22 and FY23); NIM: total interest income minus total interest expenses as a percentage of average

interest earning assets; penalties imposed by RBI during the year.

Capital adequacy and liquidity coverage:

Capital adequacy ratio: capital-to-risk weighted assets ratio for FY23; Tier I capital: total of equity capital and disclosed reserves; liquidity coverage ratio: ratio of high-quality liquid assets (HQLA) to total net cash outflows over the following 30 calendar days.

Final scoring and rating

Banks were assigned a score for each of the 36 sub-parameters based on their rank. That was multiplied by the parameter's weight to arrive at the final score. The results were aggregated to arrive at the final rankings. In all, 36 banks were not considered in FY23.

QUANTITATIVE AWARDS

(Upper Layer NBFCs)

For rankings based purely on financial performance, data was taken from published annual reports of NBFCs for FY20 to FY23. The survey covered 12 NBFCs out of 15 classified in the upper layer (NBFC-UL) by the RBI. One classified as a core investment company and two involved in mergers in the last three years were not considered.

The ranking process

NBFCs were judged on three parameters—Growth, Size and Strength:

Growth: There were six sub-parameters, which included growth over FY22 in loans, alongside three-year CAGR in loans; growth over FY22 in borrowings, alongside three-year CAGR in borrowings and growth over FY22 in operating profit, alongside three-year CAGR in operating profit.

Size: There were two sub-parameters—size of operating profits and size of balance sheet as on March 31, 2023.

Strength: There were five overarching sub-parameters:

Quality of assets: Increase in gross stage 3 loans ratio: additions to gross stage 3 loans during the year as a percentage of average gross loans (i.e. average of closing balance of FY22 and FY23); PCR: provisioning for stage 3 loans as percentage of gross stage 3 loans as on March 31, 2023; net stage 3 loans as ratio of net loans: gross stage 3 loans closing balance net of provisioning expressed as a percentage of net loans as on March 31, 2023; gross stage 3 loan ratio: gross stage 3 loan balance as a percentage of gross loan balance as on March 31, 2023; impairment on loans to gross loans ratio: impairment on loans debited to the statement of profit and loss, including loans written off as bad debts (net of recoveries) in FY23, as a percentage of gross loan balance as on March 31, 2023; gross stage 2 loan ratio: gross stage 2 loan balance as a percentage of gross loan balance as on March 31, 2023; divergence in gross NPAs: difference between gross NPAs as computed by RBI following RBI regulations and reported by the NBFC as a percentage of addition to NPAs; divergence in provisioning for NPAs: difference in provision for NPAs as computed by RBI and reported by the NBFC as a percentage of reported profit before provisions and contingencies; secured loans to total loans: secured gross loans to total gross loans as on March 31, 2023.